

A-Z Retail Group - Financial Summary

Metric	FY 2023	FY 2024	FY 2025	YoY (FY24-25)
Net Sales (\$B)	574.8	637.8	716.9	12.4%
NA Net Sales (\$B)	352.6	387.7	426.3	10.0%
Intl Net Sales (\$B)	131.2	142.8	161.9	13.4%
Other Revenue (\$B)	91	107.3	128.7	19.9%
NA Operating Income (\$B)	14.1	21.2	29.6	39.6%
Intl Operating Income (\$B)	0.1	2.8	4.7	67.9%
NA Operating Margin	4.0%	5.5%	6.9%	25.5%
Intl Operating Margin	0.1%	2.0%	2.9%	45.0%
Advertising Revenue (\$B)	47	56.2	69.1	0.229537367
Free Cash Flow (\$B)	28.4	36.4	38.2	0.049450549
Services as % Revenue	28.2%	0.0%	0.0%	
Margin Gap (NA vs Intl)	3.9%	3.5%	4.0%	
Value Destruction (\$B)	5.1168	4.998	6.476	

3-Year CAGR	Key Benchmark
11.7%	Walmart: \$681B
10.0%	59.5% of total
11.1%	22.6% of total
18.9%	Cloud + Ads + Subs
44.9%	
585.6%	
31.3%	
438.5%	
0.212523305	~65% margin est.
0.159771711	CapEx up 15%
	Target: 28% FY27

Margin Decomposition and Driver Analysis

Margin Driver	Impact (bps)	Nature	Sustainability
Network redesign & fulfilment	100	Operational	High
Ad & services mix shift	80	Revenue mix	High
Operating discipline	50	Operational	Medium
Tariff headwinds	-45	External	Volatile
Wage inflation	-30	External	Persistent
Competitive pricing	-35	Competitive	Persistent
NET MARGIN MOVEMENT	120		

Historical Margin Trends

Metric	FY 2023	FY 2024	FY 2025
NA Operating Margin	4.0%	5.5%	6.9%
Intl Operating Margin	0.1%	2.0%	2.9%
Group Gross Margin (est.)	46.5%	48.2%	49.8%
Advertising as % Revenue	8.2%	8.8%	9.6%

IF International = NA Margin

Intl Revenue (\$B)	161.9
At NA Margin (6.9%)	11.2
Actual Intl OI (\$B)	4.7
Value Destroyed (\$B)	6.5

Confidence	Notes
High	Proven in NA
High	Growing 20%+ YoY
Medium	Labour + inventory
Medium	China exposure
High	1.5M+ workforce
Medium	Temu/Shein effect

Change (2yr)
2.9%
2.8%
3.3%
1.4%

Competitive Landscape Analysis

Metric	A-Z Retail	Walmart	Gap
FY2025 Revenue (\$B)	716.9	681	35.9
Revenue Growth YoY	12.4%	4.6%	7.8%
E-commerce Revenue (\$B)	500	115	385
Physical Stores	0	5000	-5000
Same-Day Delivery Metros	140	3500	-3360
US Parcel Market Share	30.0%	8.0%	22.0%
Prime/+ Members (M)	170	N/A	N/A
Ad Revenue (\$B)	69.1	4.4	64.7
Operating Margin	6.9%	4.2%	2.7%

Cross-Border Platform Threat Assessment

Category	A-Z Revenue at Risk (\$B)	Price Discount	Delivery Time
Electronics (non-urgent)	25	30-40%	15-25 days
Apparel/Fashion	18	40-60%	15-30 days
Home/Kitchen	12	25-40%	15-25 days
Toys/Leisure	8	30-50%	15-25 days
Beauty/Personal Care	5	20-35%	15-25 days
Total Revenue at Risk (\$B)	68.0		
As % of Total Revenue	9.5%		

Temu/Shein (est.)	Strategic Implication
N/A	Scale parity
>100%	A-Z outgrowing
~\$80-100B	A-Z dominant online
0	Walmart BOPIS advantage
0	Stores as fulfilment
<0.01	Logistics moat
N/A	Ecosystem lock-in
<\$1	A-Z ad monopoly
Negative	A-Z more profitable

Recommended Response
Compete on reliability + returns
Accept share loss, focus margin
Tiered offerings (Value/Std/Prem)
Seasonal defence only
Brand trust advantage

Scenario Analysis - Strategic Recommendations

RECOMMENDATION 1: Retail Margin Resilience Programme

Metric	Pessimistic	Base Case	Optimistic
Intl Revenue (\$B)	161.9	161.9	161.9
Current Intl Margin	2.9%	2.9%	2.9%
Year 1 Margin Uplift (bps)	10	50	90
Year 3 Margin Uplift (bps)	60	160	230
Year 5 Margin Uplift (bps)	90	220	300
Year 1 Intl Margin	3.0%	3.4%	3.8%
Year 3 Intl Margin	3.5%	4.5%	5.2%
Year 5 Intl Margin	3.8%	5.1%	5.9%
Year 1 Profit Uplift (\$B)	0.2	0.8	1.5
Year 3 Profit Uplift (\$B)	1.0	2.6	3.7
Year 5 Profit Uplift (\$B)	1.5	3.6	4.9
Investment Required (\$B)	0.5	0.75	1
Year 3 ROI	1.9x	3.5x	3.7x

RECOMMENDATION 2: Convenience Positioning Strategy

Metric	Pessimistic	Base Case	Optimistic
Discretionary Rev at Risk (\$B)	68	68	68
Year 1 Margin Protection (bps)	50	100	150
Year 3 Margin Protection (bps)	80	150	200
Share Loss in Price-Sensitive	-15%	-8%	-3%
Year 1 Value Preserved (\$B)	0.3	0.7	1.0
Year 3 Value Preserved (\$B)	0.5	1.0	1.4
Share Loss Revenue Impact (\$B)	-10.2	-5.4	-2.0
Net Benefit Year 3 (\$B)	0.0	0.7	1.3

Contrarian	Notes
161.9	
2.9%	
30	
190	
260	
3.2%	0.03
4.8%	
5.5%	
0.5	
3.1	
4.2	
0.4	
7.7x	

Contrarian	Notes
68	
80	
180	
-10%	
0.5	
1.2	
-6.8	
0.9	

KPI Dashboard and Performance Tracking

FINANCIAL KPIs - Monthly Review

KPI	Current	Year 1 Target	Year 3 Target
Group Retail Op Margin	5.0%	5.5%	6.5%
NA Operating Margin	6.9%	7.2%	8.0%
Intl Operating Margin	2.9%	3.4%	4.5%
Margin Gap (NA vs Intl)	0.04	0.038	0.035
Cost Per Order Change (pilots)	0	-5.0%	-10.0%
Services Revenue %	18.0%	20.0%	25.0%
Advertising Revenue (\$B)	69.1	80	105

OPERATIONAL KPIs - Monthly Review

KPI	Current	Year 1 Target	Year 3 Target
Same-Day/Next-Day (NA metros)	72.0%	75.0%	82.0%
Same-Day/Next-Day (Intl pilots)	35.0%	50.0%	65.0%
Fulfilment Productivity (YoY change)	3.0%	5.0%	8.0%
Automation ROI (warehouse robotics)	15.0%	18.0%	22.0%
Playbook Adoption Rate (Intl)	0.0%	40.0%	80.0%

STRATEGIC KPIs - Quarterly Review

KPI	Current	Year 1 Target	Year 3 Target
Prime NPS (NA)	72	74	78
Prime NPS (Intl)	58	62	70
Category Share vs Walmart (essentials)	0.35	0.36	0.38
GM Margin Target Attainment (%)	0	0.6	0.9
Tiered Offering Coverage (%)	0	0.2	0.8

Redline	RAG Status	Variance
4.5%	AMBER	-0.005
6.5%	AMBER	-0.003
2.5%	AMBER	-0.005
OK		0.002
0	RED	0.05
18.0%	RED	-0.02
75	RED	-10.9

Redline	RAG Status	Variance
65.0%	AMBER	-3.0%
30.0%	AMBER	-15.0%
0.0%	AMBER	-2.0%
10.0%	AMBER	-3.0%
20.0%	RED	-40.0%

Redline	RAG Status	Variance
68	AMBER	
55	AMBER	
0.32	AMBER	
0.4	RED	
0.1	RED	

Data for Visualisations

Revenue by Segment (\$B)

Segment	FY 2023	FY 2024	FY 2025
North America	352.6	387.7	426.3
International	131.2	142.8	161.9
Other (Cloud/Ads/Subs)	91	107.3	128.7
Total	574.8	637.8	716.9

Operating Margin Trends

Region	FY 2023	FY 2024	FY 2025
North America	4.0%	5.5%	6.9%
International	0.1%	2.0%	2.9%
Gap	3.9%	3.5%	4.0%

Scenario Profit Uplift Comparison (\$B)

Timeframe	Pessimistic	Base Case	Optimistic
Year 1	0.2	0.8	1.5
Year 3	1.0	2.6	3.7
Year 5	1.5	3.6	4.9

Customer Segmentation

Segment	Revenue Share	Competitive Vulnerability	Priority Score
Prime Loyalists	45%	Low	5
Convenience Seekers	25%	Medium	4
Price-Sensitive Browsers	20%	Very High	2
Occasional Shoppers	10%	High	1

Contrarian
0.5
3.1
4.2



